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N° 32

COLLECTION · INVESTORS

Renovating to Create Value

Flips and added value — renovate strategically, not at a loss

2026 EDITION

READ BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It offers general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. As every real estate situation is different, it is recommended that you consult the appropriate professionals before making any decision regarding a real estate transaction.

Renovating to Create Value · Collection Investors · Guide No. 32 · 2026 Edition

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Renovating can create nice added value… or swallow your margin. Whether you're aiming for a flip (buy-renovate-resell) or added value on a rental, the key is to renovate what pays, within a controlled budget.

This guide covers choosing profitable renovations, the budget and overruns, permits and standards, and calculating a flip's real margin.

Each chapter ends with a lined “My notes” page.

Renovation can create value… or destroy it. This guide distinguishes profitable work, control of the budget and schedule, compliance (permits, standards, contractors) and calculating a flip's real margin.

The key message: renovate according to the goal and the neighbourhood, and run the numbers before buying.

CHAPTER

Which renovations really create value

> *Investing where the return is best.*

Not all renovations are equal. Some pay more than they cost, others don't. In general, kitchen, bathrooms, paint, floors and improving the first impression offer a good return; very customized or luxury projects in a modest area, much less so.

- High return: refresh (paint, floors), reasonable kitchen and bathroom, curb appeal.
- Uncertain return: pool, luxury finishes out of market, very personal features.
- Always calibrate to the area and the target buyer.

Not all renovations are equal: kitchen, bathroom, a finished basement and energy efficiency often offer the best return; some expenses (pool, very customized finishes) are poorly recovered. Target what appeals to the market, not just to you.

> EMILIE'S TIP
>
> *Renovate for the market, not for your tastes. In a given area, there's a price ceiling: exceeding the neighbourhood standard is rarely recoverable at resale.*

CHAPTER

Budget, schedule and overruns

> *Controlling costs, the flip's number-one enemy.*

A flip is won or lost on the budget. Set a detailed budget, add a contingency (often 10-20%) for surprises, and track your spending closely. Time is money too: every month of delay is interest and fees eating into the margin.

- Detailed quotes from reliable contractors.
- A contingency for surprises (especially when renovating older homes).
- A realistic schedule: delays are costly.

A flip is won or lost on the budget: set a detailed budget, add a margin for surprises (often 10-20%), and hold the schedule — every month of delay costs in interest and carrying fees. Cost overruns are the renovator's number-one enemy.

> EMILIE'S TIP
>
> *Always plan a contingency and a cautious schedule. The projects that fail are almost always those whose budget and timeline were too optimistic at the start.*

CHAPTER

Permits, standards and contractors

> *Renovating by the rules so you don't pay for it later.*

- Check the required permits with the municipality before the work.
- Use qualified, licensed contractors (RBQ) for the work that requires it.
- Respect the standards: work without permits can cause problems at resale and with insurance.
- Keep invoices and warranties.

Renovations “with permits and by pros” resell better and avoid nasty surprises on the buyer's and insurer's side.

Renovate by the rules: check the required permits, respect the standards, and choose licensed, insured contractors. Work without permits can block a resale or cost a lot to regularize. Compliance protects your value as much as your safety.

> EMILIE'S TIP
>
> *Never skip permits to go faster. A non-compliant renovation discovered at resale can cost far more than the time “saved”.*

CHAPTER

Calculating a flip's real margin

> *Making sure the project is profitable BEFORE buying.*

A flip's margin = estimated resale price − (purchase price + renovations + holding costs + buying and selling fees + tax). Many beginners forget the holding costs (interest, taxes, insurance during the work) and the transaction fees.

Keep a safety margin: the market can move, costs can spiral. A flip that's only profitable in the perfect scenario is too risky.

A flip's margin is calculated BEFORE buying: estimated resale price − purchase price − work − fees (carrying, notary, taxes, commission) − safety margin. If the calculation is tight at the start, the slightest surprise wipes out the profit. Buy on the numbers, not on hope.

> EMILIE'S TIP
>
> *Calculate your margin with the most CONSERVATIVE resale price, not the most optimistic. If the project doesn't hold up in that scenario, it doesn't hold up. Discipline on the numbers is what protects your capital.*

CHAPTER

Renovating for yourself or for the market?

> *Adapting the work to the goal.*

You don't renovate the same way to **live there a long time** or to **resell**:

- **For yourself**: favour your comfort and your tastes, over a long horizon.
- **To resell**: aim for neutral, popular choices, control costs, don't over-improve relative to the neighbourhood.

Over-renovating a property beyond the area's value means investing money you won't recover at resale.

You don't renovate the same way to live there a long time or to resell: for yourself, favour your comfort; for the market, aim for neutral, popular choices, without over-improving relative to the neighbourhood. Becoming the most expensive house on the street means investing money you won't recover.

> EMILIE'S TIP
>
> *Don't become the most expensive house on the street. Beyond a certain point, the neighbourhood caps your value: your lavish renovations will never resell at their cost. Renovate in step with the area.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Identify the best-return renovations for the area.
2. Get detailed quotes from reliable contractors.

Within 30 days

1. Build a budget with a contingency and a realistic schedule.
2. Calculate the real margin with a conservative resale price.

Next

1. Only buy if the numbers hold up, permits included.

Before renovating

1. Calculate the real margin BEFORE buying (resale − purchase − work − fees − margin).
2. Check permits and standards, and choose licensed, insured contractors.

REFERENCES

Resources & glossary

- Flip: buying, renovating then reselling at a profit.
- Curb appeal: the exterior first impression, high return.
- Contingency: a budget reserve (often 10-20%) for surprises.
- Holding costs: interest, taxes, insurance during the work.
- RBQ: contractors' license for the work that requires it.

- Flip: buy-renovate-resell at a profit over a short horizon.
- Carrying costs: costs (interest, taxes) during holding/renovation.
- Cost overrun: an increase in the budget, the flip's number-one enemy.
- Over-improvement: renovation beyond the area's value, poorly recovered.
- Permit: municipal authorization required for certain work.

GOING FURTHER

Quiz — test your knowledge

1. The best-return renovations are often:

A) Pool and out-of-market luxury

B) Reasonable kitchen/bathroom, paint, floors, curb appeal

C) Very personal features

D) None

2. Exceeding the neighbourhood standard is:

A) Always profitable

B) Rarely recoverable at resale

C) Mandatory

D) Risk-free

3. A flip is won mainly on:

A) Luck

B) The budget and the schedule

C) The colour

D) Chance

4. A typical contingency is:

A) 0%

B) 10-20%

C) 100%

D) 1%

5. Before the work, you must check:

A) Nothing

B) The required permits with the municipality

C) The weather

D) The neighbour

6. A flip's margin must include:

A) The purchase price only

B) Purchase + renos + holding costs + transaction + tax

C) The rents

D) Nothing

7. You calculate the margin with a resale price that is:

A) Optimistic

B) Conservative

C) Made up

D) Zero

8. A flip profitable only in the perfect scenario is:

A) Ideal

B) Too risky

C) Guaranteed

D) Fee-free

Answer key

1. B — You renovate for the market (ch. 1).

2. B — There's an area ceiling (ch. 1).

3. B — Costs are the number-one enemy (ch. 2).

4. B — To absorb surprises (ch. 2).

5. B — Non-compliant work = problems at resale (ch. 3).

6. B — Many forget the holding costs (ch. 4).

7. B — Discipline protects the capital (ch. 4).

8. B — You need a safety margin (ch. 4).

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Thank you for reading. May this guide help you decide with confidence, with all the information in hand.